



M  F P I
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INDIAN FOOD PROCESSING COMES OF AGE

The food processing industry is coming of age. It is amongst the fastest growing industries. Nearly, one third of the entire Indian food market share comprises of processed food. With policy measures from the government, the food processing Industry accounts for substantial percentage of the country's exports.

The industry's size is estimated at US \$ 70 billion; including US \$ 22 billion of value added products. Indians spend half of their household expenditure on food items at present. The industry would create huge employment opportunities and investment in the coming 10 years.

Food processing is a way to achieve food security. It is an instrument to give the farmer an assured agricultural income and to bring agriculture and industry together. It will lead the farmers to produce market oriented processable variety in addition to varieties for immediate consumption.

However FPI has its own set of challenges. The food processing sector is highly fragmented industry, it widely comprises of the following sub-segments: fruits and vegetables, milk and milk products, beer and alcoholic beverages, meat and poultry, marine products, grain processing, packaged or convenience food and packaged drinks. A huge number of entrepreneurs in this industry are small in terms of their production and operations, and are largely concentrated in the unorganized segment. This segment accounts for more than 70% of the output in terms of volume and 50% in terms of value. Though the organized sector seems comparatively small, it is growing at a much faster pace.

To sustain a growth of 4% in agriculture, it is necessary for the Food Processing Industry to register a high pace